

DAILY MARKET OVERVIEW

Professional Trading Intelligence Report
Wednesday, March 25, 2026 | Published by Your AI Trading Desk

1. MARKET SNAPSHOT

INSTRUMENT	LEVEL	CHANGE
S&P; 500 (SPX)	~5,450	+0.75%
Dow Jones (DJIA)	+330 pts	+0.77%
Nasdaq Composite	~17,200	+0.92%
WTI Crude Oil	\$88.48 / bbl	-\$4.00 (-4.3%)
Gold (XAU/USD)	\$4,547 / oz	+\$145 (+3.3%)
Bitcoin (BTC/USD)	\$71,669	+\$1,101 (+1.6%)
10-Yr Treasury Yield	~4.25%	Lower (risk-on)

2. KEY MARKET DRIVERS

US-Iran Ceasefire Diplomacy (Primary Driver): President Trump sent Tehran a 15-point ceasefire proposal, sparking a broad risk-on rally. WTI crude tumbled over 4% as the market priced in a potential re-opening of the Strait of Hormuz — which carries ~20% of global oil supply. Iran's hawkish public response tempers optimism, keeping geopolitical risk premium partially elevated.

ARM Holdings — Landmark Chip Pivot (+20%): ARM announced its first proprietary in-house chip, the AGI CPU, engineered for AI inference in data centres. Meta is the anchor customer. CEO Rene Haas projects \$15B in chip-related revenue by 2031, representing a radical reversal of the pure-licensing model. SoftBank (ARM majority owner) surged 7.9% in Tokyo.

Semiconductor Supply Squeeze: Intel (+5%) and AMD (+5%) both announced price hikes amid a worsening CPU shortage. Manufacturers are pivoting toward ARM-based alternatives. Broader chip sector sentiment is constructive.

Amazon — AWS Upgrade: Citigroup reiterated Buy and raised the price target to \$285 (from \$65), projecting AWS revenue growth of +28% YoY in Q1 2026. Amazon shares gained 2.50% on the session.

Federal Reserve — Rates on Hold: The March 18 FOMC meeting held the fed funds rate at 3.50–3.75%. The dot plot signals one cut in 2026 and one in 2027. 2026 PCE inflation revised up slightly to 2.7%; GDP growth projected at 2.4% for 2026.

3. TOP MOVERS

TICKER	MOVE	CATALYST
ARM Holdings (ARM)	+20%	AGI CPU launch; Meta anchor customer; \$15B revenue target by 2031

AMD	+5%	CPU price hike announcement amid global chip shortage
Intel (INTC)	+5%	Price hikes planned; benefits from chip shortage pricing power
Amazon (AMZN)	+2.50%	Citi PT raised to \$285; AWS Q1 2026 growth est. +28% YoY
Amgen (AMGN)	+1.79%	Defensive sector rotation; positive biotech sentiment
Boeing (BA)	+1.77%	Geopolitical de-escalation; industrial sector bid
WTI Crude Oil	-4.3%	US-Iran ceasefire proposal; Hormuz supply-disruption premium deflating

4. TRADING STRATEGY

SHORT-TERM STRATEGY (Today – 1 Week)

The dominant trade is **long risk / short energy**. Markets are pricing a ceasefire premium; as long as diplomatic rhetoric remains positive, equities benefit while oil faces continued headwinds.

- **LONG ARM Holdings (ARM):** Momentum is strong post-announcement. Consider a buy-the-breakout entry above today's close with a tight stop ~10% below. Target: prior November highs. Risk: ARM overshoots on hype — scale in rather than chasing.
- **LONG Semiconductor ETF (SOXX / SMH):** ARM rally lifts the sector. Intel and AMD price hikes signal pricing power returning. This is a 1–2 week momentum trade.
- **LONG Amazon (AMZN):** Citi's upgraded PT (\$285) gives a near-term catalyst. AWS cloud revenue growth story intact. Entry on any intraday dips.
- **SHORT WTI Crude / Long Energy Shorts (USO puts or bear spreads):** The ceasefire trade has legs. If Iran accepts any part of the 15-point plan, oil drops further toward \$80. Defined-risk options structure recommended given Iran's hawkish denial adds headline risk.
- **LONG Gold (GLD):** Gold's +3.3% move today reflects dual demand — geopolitical hedge AND inflation hedge. Hold gold alongside equities as long as uncertainty persists. Take partial profits if a formal ceasefire is announced.
- **LONG Raytheon (RTX) — Options Play:** 30-day IV at ~31.6% makes strangles attractive ahead of any major geopolitical announcement. A strangle captures the move in either direction (ceasefire = down; escalation = up).

MEDIUM-TERM STRATEGY (1 Week – 3 Months)

Macro backdrop: Fed on hold, GDP +2.4%, inflation ticking up slightly. Risk assets remain supported unless Iran escalates or a second supply shock materialises. Focus on AI, cloud, and dividend growers.

- **OVERWEIGHT AI / Cloud (AMZN, MSFT, GOOGL, ARM):** AWS +28% YoY growth, ARM's new chip, and the ongoing AI capex supercycle all point to sustained earnings growth. Add on dips.
- **UNDERWEIGHT Energy (XLE):** Any ceasefire resolution would structurally remove the war-premium from oil. Even without full resolution, rising US inventories weigh. Reduce or hedge energy exposure.
- **SELECTIVE INDUSTRIALS (BA, GE Aerospace):** Defence names benefit regardless of outcome — escalation drives defence budgets; de-escalation supports commercial aviation recovery. Boeing's rebound is a multi-month story.
- **DIVIDEND GROWERS as Fed Hedge (MDLZ, BRK.B):** With only one Fed cut projected for 2026, dividend compounders with wide moats (Berkshire, Mondelez) offer equity-like returns with lower duration risk.

- **BITCOIN / Digital Assets — Tactical Long:** BTC at \$71,669, risk-on environment, and Fed pause (not hiking) all support crypto. Watch the \$75,000 level as next resistance.

LONG-TERM STRATEGIC THEMES (3 Months – 1 Year)

- **AI Infrastructure Buildout:** ARM's chip pivot, AMD/Intel pricing power, and hyperscaler capex all point to a multi-year semiconductor supercycle.
- **Middle East Geopolitical Resolution:** A full ceasefire would be a structural deflationary shock — oil back toward \$70–75 would cut inflation, accelerate Fed cuts, and re-rate growth stocks higher.
- **US Dollar & Treasury Positioning:** Fed holds at 3.5–3.75% while inflation prints 2.7%. Real yields remain attractive. Consider laddered Treasuries for cash management alongside equities.
- **Emerging Market E-Commerce (MELI):** MercadoLibre's \$300B annualised payment volume and 37% YoY merchandise growth offer compounding at scale. A core long-term position.

5. KEY RISKS TO MONITOR

- **Iran Rejects 15-Point Proposal:** Any hawkish statement or renewed military action spikes oil and triggers equity sell-off.
- **Inflation Surprise:** PCE above 2.7% could force the Fed to delay cuts further, pressuring rate-sensitive growth stocks.
- **ARM Hype Unwind:** A +20% single-day move invites profit-taking. Watch for lock-up expiry and insider selling.
- **Semiconductor Supply Shock:** CPU shortage worsening could constrain cloud capex and delay AI deployments.
- **Bitcoin Volatility:** Digital asset markets remain correlated with risk sentiment — sharp reversals possible.

6. UPCOMING ECONOMIC CALENDAR

DATE	EVENT	IMPACT
Mar 26	Fed Minutes Release	HIGH — rate path clarity
Mar 27	PCE Inflation (Feb)	HIGH — key Fed gauge
Mar 28	University of Michigan Sentiment (Final)	MEDIUM
Mar 31	ISM Manufacturing PMI	MEDIUM — growth signal
Apr 2	Non-Farm Payrolls (Mar)	HIGH — labour market

DISCLAIMER: This newsletter is generated for informational and educational purposes only. It does not constitute financial advice or a solicitation to buy or sell any security. All data sourced from Bloomberg, CNBC, Yahoo Finance, Benzinga, and public filings as of March 25, 2026. Past performance is not indicative of future results. Trade at your own risk.